



BANK OF INDIA Schemes of Auto Finance :

Public Sector Banks continue to support the honest middle class to upgrade their life style. One such scheme from the bank is to provide finance for acquisition of personal vehicle - be it for any 2 wheeler category like scooter / moped or any 4 wheeler category like car, van or multipurpose vehicle like jeep etc. Bank has tailor made schemes to meet these requirements of the masses.

Bank of India has been in the forefront of Retail lending and has specially designed Star Autofin Scheme. Bank of India's - Star Autofin Scheme has been extended to acquire personal vehicle not only to salaried employees, professionals, self employed individuals but also to proprietary firms, partnership firms, public / private limited companies.

Bank encourages providing of vehicle finance for acquisition of new personal vehicle directly from the dealer. However, in exceptional cases, the scheme is broadened to finance of pre-owned (second-hand) vehicles which are not more than 3 years old.

The amount of finance is generally determined by the cost of the vehicle quoted by the dealer + cost of insurance for the first year and the registration of the vehicle with RTO. Generally, 80% to 85% of this cost is given by way of loan by the bank and the remaining 15% to 20% of the down payment amount has to be invested by the person seeking a vehicle loan from the bank. In case of second hand vehicle finance, the amount of finance is restricted to 75% of the assessed value of the vehicle based on the valuation report from the approved panel agency. The amount of loan is also limited by the gross income of the proponent as reflected in the IT Return. In case of salaried employees, the loan will be restricted to 24 times of the monthly gross emoluments. For persons other than salaried employees like businessmen and self-employed, the loan will be restricted to two times gross average annual income as per IT Return.

The loan is required to be repaid within a maximum period of 6 years and the loans taken for 2 wheeler should be repaid within a period of 5 years. Generally, the repayment is fixed as an EMI (Equated Monthly Installment) which contains applicable interest component as well as part - principal amount. The EMI for each loan is decided at the time of sanctioning the loan itself depending upon the size of the loan, its repayment period and the interest rate at which loan is sanctioned. The EMI should be within the monthly net take home pay of the borrower.

For processing the loan application, the bank generally charges a one time fee. The vehicle purchased out of bank loan should be in the name of the person who availed the loan and Hypothecation charge of the Bank is also to be recorded in the RC Book.

Our Bank's interest rate is below 10% for purchase of new vehicles. The Bank has entered into tie-up arrangement with Hyundai Motors, Tata Motors, Tvs Motors etc to facilitate early processing.

The recessionary trend has resulted in less number of persons going for new vehicles. In this background to give impetus for the economy, the bank has reduced the rate of interest making it a fair proposition going for personal vehicle at this time.

The Bank has financed over 51000 number of accounts and the total amount disbursed under Autofin exceeds Rs.1000 crore.

Conclusion :

Focused steps by the Government along with conscious efforts by Auto Industrial Body and the overall industry on their part towards sustainable future will serve as a powerful antidote to overcome the current slowdown in the sector.

Thus, the recent slew of measures taken up by the Government and industry on their part, will go a long way to revive the demand for auto industry.



DRIVE HOME A CELEBRATION THIS FESTIVE SEASON

This festive season, Bank of India makes owning a vehicle a celebration for you. Star Autofin, our vehicle loan now comes at an attractive interest rate of 8.5% per annum with easy repayment options. Now make way for the festivities to begin.



Festival Offer

www.bankofindia.co.in

- ★ Limited period offer upto 20th Oct. 09
- ★ Rate of interest for loans upto 10 lakhs with a repayment period of 3 years @ 8.5% p.a.
- ★ 50% waiver of processing charges
- ★ No hidden charges
- ★ Hassle free quick service
- ★ Loans for imported cars & used cars also



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Bank of India

Relationships Beyond Banking